

much work analysing companies and charge high fees. That's how things are meant to work right? The higher the fee, the more work put in, the better the outcome?

Funnily enough, mutual funds have a lot in common with high-end moisturisers: the cheaper ones do just as well, if not better.

Mutual funds can sometimes do better in the short term, but rarely in the long term. In fact, a study done in 2018 by Standard and Poor's (S&P) Research Group found that over a 15-year investment horizon, only 2.3 to 7.57 per cent of actively managed mutual funds beat the passive index funds (which we'll get into next). Actively managed funds are managed by professionals, who are highly qualified and skilled, equipped with the best software in the world to try and beat the market, and only 2.3 to 7.57 per cent actually get it right.

Investors in training know that despite costing more in fees, actively managed mutual funds usually do as well as or worse than index funds that are cheaper and require less time in research — a fund manager spending 50 hours a week to find the best companies to invest in is spending a lot more time than a passively managed index fund.

Index funds

Index funds are like that humble, low-key friend who is actually a secret superhero, volunteering all their time at the hospital and making you care packages when you're sick. Index funds used to be the overlooked part of the investing world. Funnily enough, they were invented by someone who was sick of mutual funds.

John Bogle, the founder of the Vanguard Group, which is now one of the world's most popular investment management companies, decided to create a type of mutual fund that stripped away all the active investing and instead made it as passive as possible. Though, mind you, Vanguard still has some actively managed funds to this day!

In 1976, Bogle decided that computers were the solution and, rather than relying on someone to spend hours trying to decide what companies to